2.6.2 The World Bank

The World Bank, born alongside the IMF at the Bretton Woods Conference in 1944, is another cornerstone of the global financial system. Often collaborating closely with the Fund, the Bank shares many structural similarities but pursues a distinct mission centered on fostering economic development and reducing poverty worldwide.

Like the IMF, the World Bank boasts near-universal membership, with nearly all countries represented on its Board of Governors. This governing body, composed of finance or development ministers from member states, delegates the institution's daily operations to a twenty-five-member executive board. At the helm of the Bank is its president, traditionally an American, reflecting the United States' significant influence within the institution.

The World Bank Group comprises five distinct entities, but this discussion focuses on its two primary arms: the International Bank for Reconstruction and Development (IBRD) and the International Development Association (IDA). Together, these entities cater to countries at different stages of development. The IDA supports low-income nations through interest-free loans and grants, addressing critical needs such as infrastructure, education, and health care. The IBRD, on the other hand, provides nonconcessional loans primarily to middle-income countries. The Bank finances these loans by borrowing from private markets, leveraging its top-tier credit rating—a reflection of its backing by major creditworthy governments—to secure favorable terms. Interest income from IBRD loans is then channeled to bolster the IDA's concessional lending capabilities.

The World Bank's operations are intricately tied to its members' financial contributions. Wealthy countries fund IDA programs, with the United States playing a pivotal role; American congressional approval is required to replenish the IDA budget every three years. This dependence underscores US influence, both formally, through veto power over key decisions, and informally, through the Bank's headquarters in Washington, DC, and its sway in hiring decisions.

Beyond its lending activities, the World Bank complements the IMF's work in monitoring global economic conditions. The two institutions collaborate on reports such as the Financial Sector Assessment Programs